

Main Findings

Oil supply shocks shape U.S. inequality.

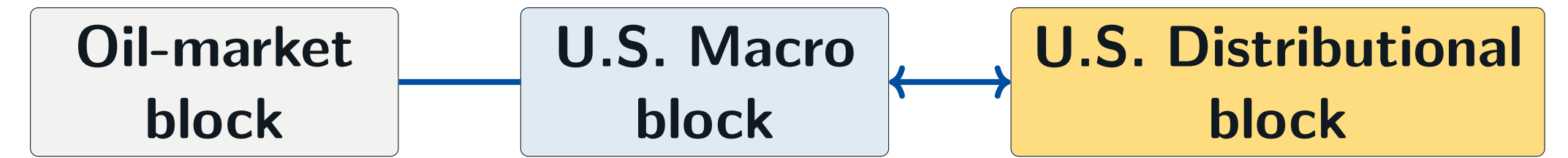
The type of oil supply shock matters for who bears the cost.

Physical Oil Supply Shock (BH)
Baumeister & Hamilton (2019)

Oil Supply News Shock (KZ)
Känzig (2021)

$\uparrow P_{oil} \Rightarrow$ **Similar** aggregate transmission. **Opposite** distributional consequences.

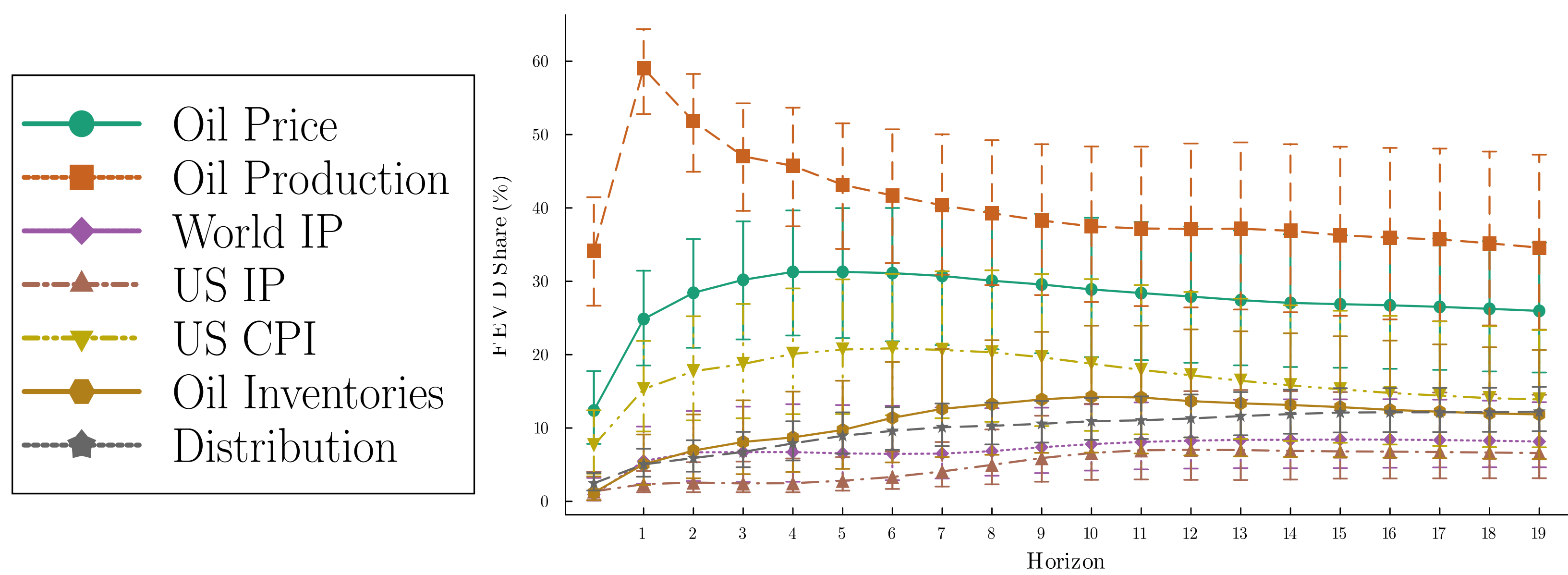
The Lens: A Distributional Oil VAR



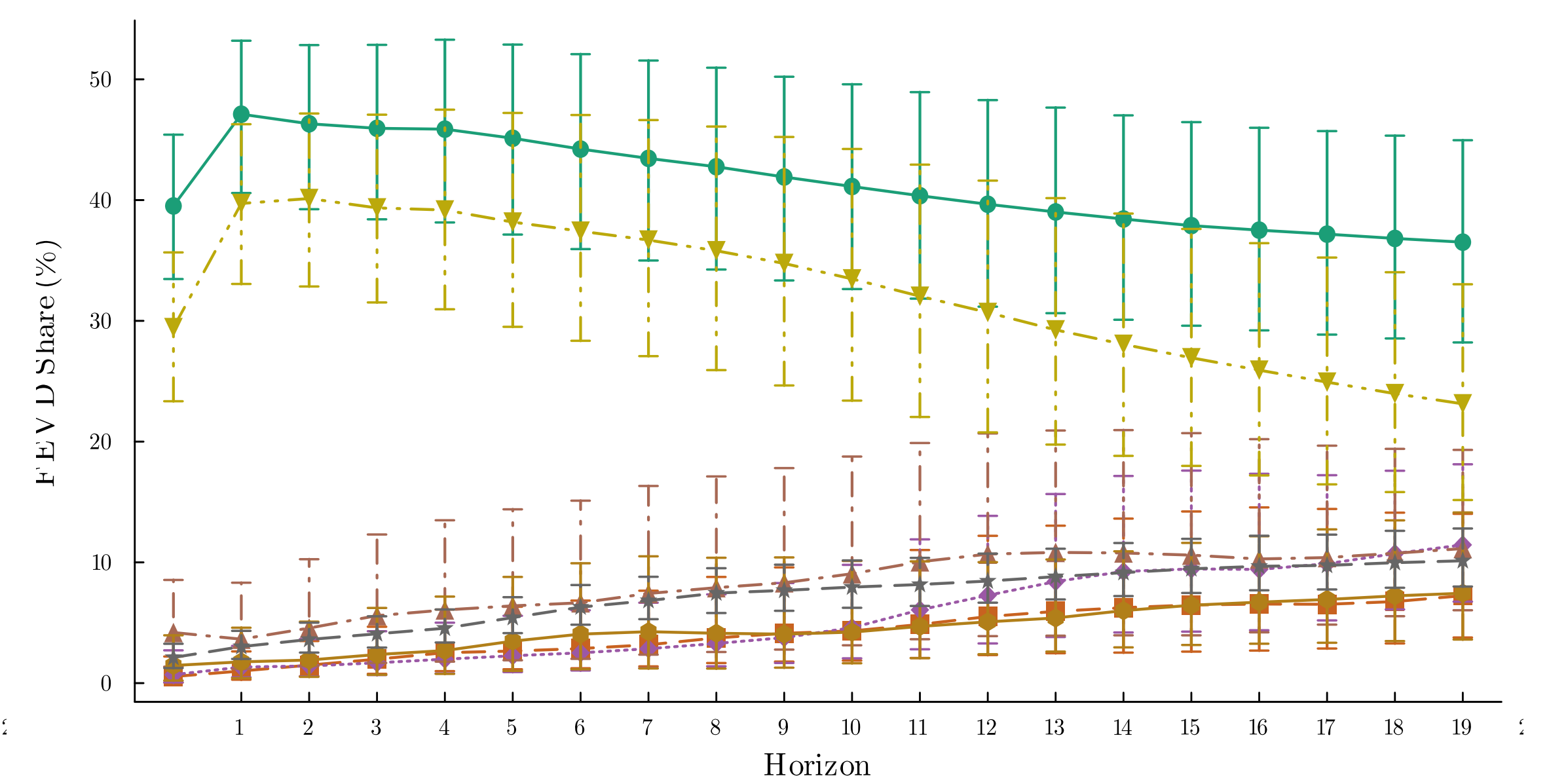
- **Bayesian Long-Lag VAR** with asymmetric prior;
(Chan 2022, De Graeve & Westermarck 2025, Giannone, Lenza & Primiceri 2019)
- **Distributional block:** PCA factors of Legendre coefficients.
(Bayer, Calderon & Kuhn 2025)

FEVD — Variance Explained by the Shock

Physical Shock (BH)



News Shock (KZ)



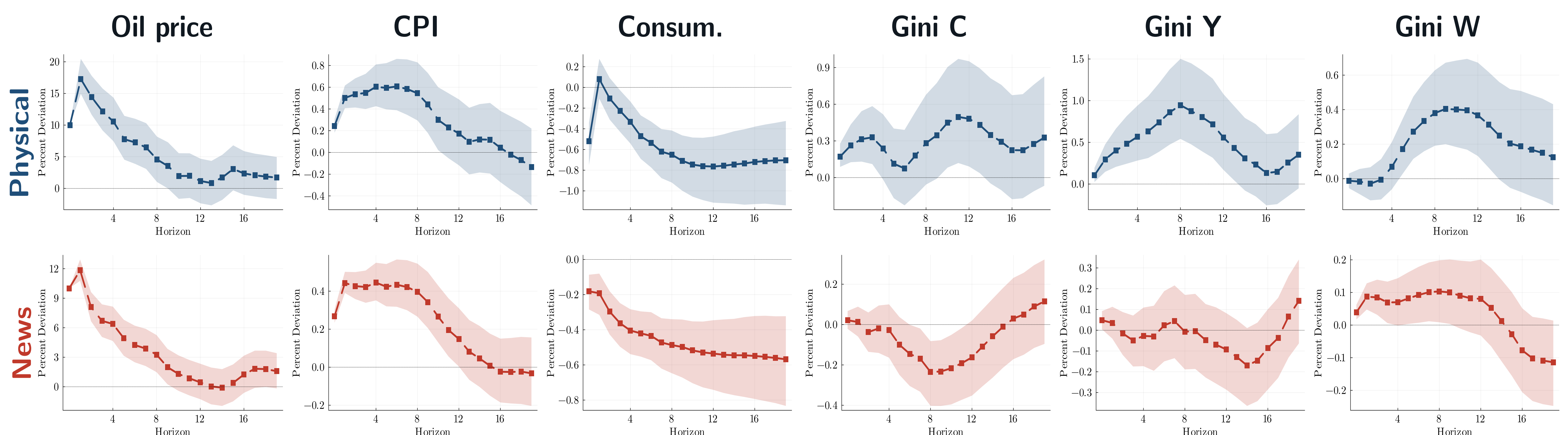
$\Rightarrow$ **BH** var. is driven by **oil prod.**; **KZ** by **oil price & CPI** — **KZ** explains 2–3× the CPI var. of **BH**.

IRF Decomposition — Similar Path, Different Drivers (Dufour & Wang, 2024)



$\Rightarrow$ **BH** **cost-pull** (oil production); **KZ** **repricing** (CPI) — this is where inflation bites.

Impulse Responses — Similar Aggregates, Opposite Inequality



$\Rightarrow$ **Aggregate footprint hides** which shock hit; **BH** **widens** and **KZ** **compresses** the distribution.